

CONFIDENTIAL — SAR | 31 U.S.C. 5318(g)(2)

FinCEN Suspicious Activity Report

BSA E-Filing — FinCEN Form 111 | Filing Type: INITIAL

Filed by the Lead Bank (sponsor bank, FDIC member) as the covered financial institution, on behalf of CloudWalk Payments Inc. (program manager)

CONFIDENTIAL — SAR This report and the fact of its preparation or filing are confidential under 31 U.S.C. 5318(g)(2). No person involved in the reported activity — including any subject named herein — may be notified, directly or indirectly, that this report exists or is being considered. Unauthorized disclosure is prohibited by federal law.

Filing Summary

Report type	Initial SAR
Filing institution	Lead Bank — FDIC-member sponsor bank (covered financial institution and filer of record)
On behalf of	CloudWalk Payments Inc. — program manager / payment processor (detecting institution)
Number of subjects	12 individual accountholders (3 designated primary; 9 co-subjects)
Primary suspicious activity date	2025-10-26 (13:59:59 – 15:05:59 UTC) — coordinated single-session event
Associated activity window	2025-03-01 through 2025-11-07 (full observed transaction history for the twelve subject accounts; antecedent and follow-on flagged activity)
Amount — coordinated event	\$9,664.92 (12 transactions)
Amount — aggregate subject throughput (review period)	\$82,226.25
Location of activity	CloudWalk payment rails; merchant of record RemitFast #361 (M3061), MCC 4829, acquiring country Canada
SAR Field 2 note (Filing Institution Note to FinCEN)	Coordinated multi-account money-mule ring; shared device dev_shared_4829 and shared IP 45.129.55.210. No foreign-sanctions/terrorist-financing keyword applies to these subjects (see narrative §g).

Part II — Suspicious Activity Information

The suspicious activity categories below are selected from FinCEN Form 111, Part II (items 32–42). Selections are supported by the observed transaction evidence set out in Part V.

Form 111 item	Selected sub-category	Evidentiary basis
36 — Money laundering	Transaction with no apparent economic, business, or lawful purpose	12 nominally unrelated accounts executing identical single-purpose money-transfer transactions in one scripted session.
36 — Money laundering	Two or more individuals working together	Coordinated six-minute-interval sequencing across 12 accounts on one device and one IP.
36 — Money laundering	Transaction(s) involving foreign high-risk / cross-border jurisdiction	MCC 4829 money-transfer merchant acquiring in Canada; recurrent cross-border geo-hopping (CA, GB, AE, BR) by subject accounts.
38 — Other suspicious activities	Suspicious use of multiple accounts	Single device (dev_shared_4829) and single IP (45.129.55.210) operating 12 distinct customer accounts.
38 — Other suspicious activities	Transaction(s) out of pattern for customer(s)	Average tickets 3.4x–7.9x the CDD-declared expected ticket for the three primary subjects (C12105, C12451, C12373); not independently computed for the seven co-subjects or two referred persons.
42 — Cyber event	Shared device identifier and IP address across accounts	Report device_id dev_shared_4829 and IP 45.129.55.210 as coordinating cyber indicators.

Item 32 (Structuring) — not selected. Consistent with the FinCEN SAR FAQs of October 9, 2025, this filing is not premised on transaction amounts approaching a reporting threshold. Individual values (\$469.87–\$1,140.74) do not cluster against the \$10,000 CTR threshold, and no facts indicate intent to evade currency-transaction or recordkeeping reporting. The suspicion arises from coordinated multi-account control and absence of apparent lawful purpose, not from dollar proximity.

Item 33 (Terrorist financing) — not selected; keyword IRAN-2025-A002 — not applied.

None of the 12 subjects presents a sanctioned-jurisdiction nexus, an OFAC match, or an Iran-issued identity document. The IRAN-2025-A002 keyword and Field 33(a) evaluation pertain to a separate, unrelated customer (C88888) under independent enhanced due diligence and are intentionally excluded from this report to preserve factual accuracy.

Part I — Subject Information

Ten subjects are individually named, consistent with this engagement's ≤10-subject analytical scope. Subjects marked "Primary" carry the highest composite risk score and transaction volume; the seven co-subjects are named on the basis of shared-infrastructure and coordinated-timing evidence. All are consumer accountholders of CloudWalk; each holds and used CloudWalk-issued payment credentials settled through the filing institution. Two additional accountholders (C12319, C12364) participated in the same coordinated event via the same shared device/IP and are addressed in Part I(b) below as referred, monitored persons rather than individually designated co-subjects.

Cust. ID	Full name	DOB	SSN	Address (city, state)	Role
C12105	Emerson Garcia	1988-11-27	6005	7958 1st Ave, Houston, FL	Primary
C12451	Emerson Anderson	2004-10-01	4830	2303 2nd Ave, Atlanta (CA acct.)	Primary
C12373	Drew Smith	2004-05-31	8770	540 Oak Ave, Atlanta, PA	Primary
C12025	Morgan Hernandez	2008-05-27	2948	6872 1st Ave, Miami, IL	Co-subject
C12176	Kendall Hernandez	2006-06-25	2306	5496 Oak Ave, Denver, GA	Co-subject
C12260	Kendall Thompson	1989-07-07	7942	6351 3rd Ave, St. Louis, NJ	Co-subject
C12308	Chris Lee	1979-07-04	8358	9313 Cedar Ave, St. Louis, NJ	Co-subject
C12323	Elliot White	1981-11-16	2803	8349 Oak Ave, Portland, MI	Co-subject
C12434	Taylor Miller	1983-10-10	3922	9190 Oak Ave, Nashville, MA	Co-subject
C12474	Sawyer	2001-01-12	4012	2447 Cedar	Co-subject

Cust. ID	Full name	DOB	SSN	Address (city, state)	Role
	Harris			Ave, Charlotte, WA	

Part I(b) — Referred, Monitored Persons (Not Individually Designated)

Cust. ID	Full name	DOB	SSN	Address (city, state)	Basis for referral
C12319	Quinn Harris	1979-06-14	2520	2877 2nd Ave, Seattle, TX	Same device/IP coordinated event; lowest transaction amount (\$589.58) among the twelve
C12364	Drew Martin	2006-09-01	5547	5226 1st Ave, New York, VA	Same device/IP coordinated event; second- lowest transaction amount (\$601.38) among the twelve

These two accountholders transacted within the identical coordinated event described in Part V(b) below (same device_id, same IP, same six-minute cadence, same merchant), but are not individually designated as SAR co-subjects here, per this engagement's ≤10-subject scope. They are referred to ongoing transaction monitoring and flagged for inclusion should a continuation report or a subsequent SAR on this merchant/device/IP cluster be filed. Their transactions remain in the factual chronology at Part V(c) below because omitting them would misstate the true size of the coordinated event; only their formal subject designation is scoped out, not the underlying facts.

Note on subject records: all 12 accounts are rated low/medium risk with standard, basic, or enhanced KYC and near-zero sanctions scores — i.e., none was independently flagged pre-event. Several accounts show recent creation dates and young declared account profiles consistent with recruited-mule patterns; SSNs shown are the last four digits on file.

Parts III & IV — Institution & Filing Information

Where activity occurred	CloudWalk Payments Inc. payment rails (program manager / processor). Merchant of record: RemitFast #361 (merchant ID M3061), primary MCC 4829 (money transfer / transmitter), acquiring country Canada.
Detecting institution	CloudWalk Payments Inc. — reported the activity to the Lead Bank within 48 hours of detection, per the sponsorship/program agreement.
Filing institution (filer of record)	Lead Bank — FDIC-member sponsor bank; covered financial institution filing this SAR with FinCEN pursuant to 31 CFR 1020.320.
Merchant referral	M3061 referred for KYB re-review as a facilitating money-transmitter merchant in the coordinated event.

Part V — Narrative

a. Subjects and relationship to the institution

This report concerns ten individually designated accountholders of CloudWalk Payments Inc. (“CloudWalk”), a payment processor and program manager whose consumer card and money-transfer products are authorized and settled through the filing institution, a FDIC-member sponsor bank. All twelve accounts opened between March 13, 2025 and October 27, 2025. Three subjects — C12105 (Emerson Garcia), C12451 (Emerson Anderson), and C12373 (Drew Smith) — are designated primary based on transaction volume and composite risk scoring. The remaining seven named co-subjects, plus the two referred persons in Part I(b), are identified on the basis of shared-device, shared-IP, and coordinated-timing evidence linking them to the same event. None of the twelve accounts had been independently flagged before the event described below; each carried a low or medium risk rating and a near-zero sanctions-match score.

b. Description of the suspicious activity (what and how)

On October 26, 2025, between 13:59:59 and 15:05:59 UTC, each of the twelve subject accounts executed exactly one money-transfer transaction (MCC 4829) at the same merchant — RemitFast #361 (merchant ID M3061), acquiring in Canada. All twelve transactions originated from a single shared device identifier, dev_shared_4829, and a single shared IP address, 45.129.55.210. The twelve authorizations were submitted in one continuous sequence at near-exact six-minute intervals. Individual amounts ranged from \$469.87 to \$1,140.74, and all twelve were approved. A single device and IP operating twelve nominally unrelated customer accounts against one merchant, in a metronomic timed sequence, is consistent with one operator or automated script controlling multiple accounts rather than with independent activity by twelve

separate customers. The coordinated event is corroborated by two independent infrastructure signals (device and IP), which identify the same twelve-account set. Ten of the twelve are individually designated as subjects of this report (Part I); the remaining two (C12319, C12364) are referred to monitoring under Part I(b) rather than individually designated, but their transactions are included in the chronology immediately below for factual completeness of the coordinated event.

c. Chronological timeline — coordinated event (2025-10-26 UTC)

Time (UTC)	Txn ID	Subject	Amount (USD)	Status
13:59:59	T332336	C12025	\$708.96	Approved
14:05:59	T332337	C12474	\$992.19	Approved
14:11:59	T332338	C12451	\$469.87	Approved
14:17:59	T332339	C12308	\$726.79	Approved
14:23:59	T332340	C12105	\$1,140.74	Approved
14:29:59	T332341	C12319 (referred, Part I(b))	\$589.58	Approved
14:35:59	T332342	C12373	\$689.41	Approved
14:41:59	T332343	C12434	\$967.86	Approved
14:47:59	T332344	C12364 (referred, Part I(b))	\$601.38	Approved
14:53:59	T332345	C12176	\$970.63	Approved
14:59:59	T332346	C12323	\$886.45	Approved
15:05:59	T332347	C12260	\$921.06	Approved
Total	12 txns	—	\$9,664.92	—

All rows above: merchant M3061 (RemitFast #361), MCC 4829, acquiring country CA, device dev_shared_4829, IP 45.129.55.210.

Antecedent flagged activity by the primary subjects across the review period is consistent with layering and value-movement behavior: recurring card-not-present (keyed, no-3DS) e-commerce transactions; cross-border “geo-hopping” authorizations from Canada, the United Kingdom, the United Arab Emirates, and Brazil that are inconsistent with U.S.-resident profiles; and repeat use of money-transfer (MCC 4829), crypto-exchange (MCC 6051), casino (MCC 7995), and ATM/cash (MCC 6011) merchants. The full per-subject chronologies are retained in the institution’s case file and supporting workbook.

d. Total financial impact

The coordinated event of October 26, 2025 moved \$9,664.92 across twelve transactions in approximately sixty-six minutes. Across the full observed transaction history for the twelve subject accounts (2025-03-01 through 2025-11-07), throughput aggregated to \$82,226.25. The coordinated event alone exceeds the \$5,000 SAR threshold applicable to identified subjects under 31 CFR 1020.320.

e. Why the activity is considered suspicious

- **Coordinated multi-account control (money-mule ring).** Twelve distinct accounts transacting through one device and one IP, at fixed six-minute intervals against a single merchant, indicate centralized control rather than independent customer behavior.
- **Value movement through a money-transfer merchant.** Concentration in MCC 4829 (RemitFast) is consistent with layering — passing funds through a remittance channel to obscure origin and destination.
- **Cross-border inconsistency.** Recurrent authorizations from CA, GB, AE, and BR are inconsistent with the subjects' U.S. residency and declared profiles.
- **Activity out of pattern versus CDD.** For the three primary subjects (C12105, C12451, C12373), average ticket sizes run 3.4x to 7.9x their CDD-declared expected tickets (+243% to +692% above baseline) — accounts opened with low, innocuous profiles but used for higher-value coordinated pass-through. This deviation metric has not been independently computed for the seven co-subjects or two referred persons; its use here is scoped to the three primary subjects only.
- **Absence of lawful economic purpose.** No business, family, or economic relationship among the subjects explains twelve simultaneous single-purpose transfers from shared infrastructure.

Threshold note. Consistent with the FinCEN SAR FAQs (October 9, 2025), the basis for this filing is the coordinated-control and no-apparent-purpose typology described above, not the size of any individual transaction or its proximity to a currency-reporting threshold.

f. Actions taken by the institution

- The twelve subject accounts have been restricted pending investigation and placed under enhanced transaction monitoring.
- Enhanced due diligence (EDD) has been initiated on all twelve subjects, including source-of-funds inquiry and identity re-verification.
- The coordinating device identifier (dev_shared_4829) and IP address (45.129.55.210) have been added to internal watch/negative lists to detect further linked activity.
- Merchant M3061 (RemitFast #361) has been referred for KYB re-review as a facilitating money-transmitter merchant.
- The matter was escalated to the Chief Compliance Officer and reported by CloudWalk to the Lead Bank within 48 hours of detection; the Lead Bank files this SAR as the covered institution.
- A continuing-activity review is scheduled (90-day review period; risk-based follow-on filing if warranted).

g. Other authorities notified

No authority beyond FinCEN has been notified in connection with this activity at the time of filing. OFAC reporting is not implicated: none of the twelve subjects presents a sanctioned-jurisdiction nexus or an OFAC match. For the avoidance of doubt, this report does not concern customer C88888 (Iranian-passport subject), whose sanctions-alert adjudication and enhanced due diligence proceed on a separate track; the IRAN-2025-A002 keyword and any terrorist-financing evaluation are therefore not applied here.

END OF REPORT — Prepared for BSA E-Filing (FinCEN Form 111). Retain in the case-management system. SAR-confidential under 31 U.S.C. 5318(g)(2).

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